FROM THE

EDITOR-IN-CHIEF

India's big G20 moment has arrived, with New Delhi as the host city for the global elite. From being an aspirant knocking on the door, India is now at the high table. But what is most striking about India's year-long presidency of G20 is how creative its agenda-setting has been and how bustling its execution. No other host country has put so much action into the frame—almost 200 events across 60+ venues, brilliantly showcasing India to many who matter. Nor has any country extracted so much from the forum in terms of achieved objectives.

Under Prime Minister Narendra Modi's chairmanship, India has proceeded in two broad directions. The first pertains to the relation between the event and the people. It was earlier a talking shop restricted to heads of state, their top-level aides, retinues of diplomats, finance experts and assorted technocrats. The outside world was, well, outside. Modi's accomplishment has been to alter that aspect fundamentally. Take the digital public infrastructure (DPI) theme India has built into the G20 framework, getting the UNDP and the World Bank to adopt it as an accelerator of sustainable development goals formally. Beyond the jargon, what he is doing is addressing the genuine concerns of the world. Another instance of this is the expert group on finance set up by India in March, co-convened by the very experienced N.K. Singh. Its focus is to get Multilateral Development Banks (MDBs) to relook the lending terms offered to poorer countries—a vital step during the present global debt crisis that can touch billions of lives worldwide.



December 12, 2022

Secondly, India has not stopped at just doing this by power of attorney. We have proposed that the African Union be invited as a permanent member, and New Delhi will host an AU representative for the first time at a G20 summit. De facto, therefore, it is already G20 + 1. Only the formal renaming is awaited. This immediately opens out a hitherto rarefied realm to a continent that has been at the wrong end of history for centuries. Nothing encapsulates India's championship of the cause of the Global South more emphatically than this one step. India has woven that theme into the G20 agenda at all levels: from financial inclusion via MDBs and digital empowerment via DPIs to making climate change negotiations fair to the Global South.

But India's G20 vision is not the only reason we have chosen to focus this week's cover story on the New Delhi summit. It is being held at a time when the world is deeply divided and troubled. The Covid-19 shock on economies has seen global indebtedness soar. Russia's invasion of Ukraine spiked global inflation to crisis levels, coupled with food shortages. Meanwhile, China has been moving aggressively, hoping to establish itself as the world's next superpower, challenging America's global hegemony. India has felt the heat directly, with China engineering the worst border confrontation in over 50 years.

India had to conduct its G20 presidency amid such exacerbated schisms. This became clearly visible at the New Delhi summit, with the conspicuous absence of both Xi Jinping and Vladimir Putin. This isn't the first time the Chinese and Russian presidents have missed a G20 event. Xi didn't attend Rome in 2021 due to Covid restrictions and an isolated Putin stayed away from Bali in 2022. But Xi's last-minute pullout is a thinly veiled attempt to belittle India at the precise hour of its glory. It is only the latest in a series of signs that show bilateral ties at a nadir. Witness China's formal refusal to move on a border settlement as a precondition to everything else. It also recently released a map showing Arunachal Pradesh and Aksai Chin as part of China and forced India to accede to a BRICS expansion. In the past, such hostile Chinese manoeuvres saw New Delhi moving closer to Washington bilaterally and via anti-China groupings such as the Quad.

As Group Editorial Director Raj Chengappa explains in his cover story, India-China is only one of the many troubled power axes around the G20 event that are influencing its outcome. On full display was a significant global rivalry between America and China. Unlike his predecessors who endeavoured to integrate with the existing world order, President Xi seems to be working to challenge US hegemony in clear and canny ways—both territorially and by projecting the economic power he commands. China's present slowdown, partly owing to a real estate slump, is nowhere close to being so bad as to put it out of action. It has substantial forex reserves, its share of world trade is nearly 15 per cent, and barring institutional investments, the inflow of money hasn't really stopped: companies like Tesla and Airbus are substantially upping their investments there.

One country that doesn't make the mistake of underestimating China is the US. Their rivalry is a curious tango and they remain engaged because their economies are so intertwined that any break would be seriously detrimental to both. If push comes to shove, India will have to fight its own wars. Also, economically and technologically, we are a few decades behind China. India's exports to China, at some $15 billion, form just 0.5 per cent of that country's total imports while China remains our biggest source of imports. With their value nearly $100 billion, they are roughly 14 per cent of our total. This is despite all our sporadic efforts at an economic boycott of China. So, there isn't much New Delhi can do to hurt Beijing there. The common element in the other two axes is Russia.

The Ukraine war redefines the game: it is a Cold War rerun, but with Russia now increasingly dependent on China. India, meanwhile, still needs arms, oil and fertilisers from Russia even as it gets closer to the US. That's why you can see the New Delhi summit as an arena of Big Power Games, where India is compelled to do a tricky tightrope walk. The US is our natural ally, with the same democratic values, far more technologically advanced than Russia, and financially better placed to help India. With Russia, there is a legacy of a reliable friendship and much of our military equipment is from there. So far, India has done deft work keeping both countries in good humour. That apart, it is India's significant achievement to have become the voice of the Global South, succeeding in centering the issues it faces at G20. In doing so, Prime Minister Modi has helped the world move closer to India's theme for New Delhi: One Earth, One Family, One Future. Vasudhaiva Kutumbakam.

(Aroon Purie)